
Techno-Funda: Strategy Ideas That Combine Fundamental Quality with Technical Timing

Five fused approaches for NIFTY and Indian stocks — fundamental strength for "what", technical timing for "when" — with an education-only disclaimer.

PUBLISHED BY STRATLAB

Educational content only — not investment advice. StratLab is not SEBI-registered.

Techno-Funda: Strategy Ideas That Combine Fundamental Quality with Technical Timing

Five fused approaches for NIFTY and Indian stocks — fundamental strength for "what", technical timing for "when" — with an education-only disclaimer.

Published by StratLab

Important Disclaimer

This book is provided for **educational purposes only**. It is not investment advice, a recommendation, or a solicitation to buy or sell any security.

- **StratLab is not registered with SEBI** as an investment adviser, research analyst, or portfolio manager, and does not provide investment advisory services.
- Investing and trading involve risk of loss, including the possible loss of principal. Past performance never guarantees future results.
- All examples, figures, and historical observations are illustrative. Strategies described here have worked *historically* in certain conditions; that does not mean they will work in the future or for your specific situation, timeline, or risk tolerance.
- Financial ratios, screen criteria, and regulatory details change over time. Always verify current figures and consult a qualified adviser before acting.
- Nothing in this book should be read as a promise of return or a guarantee that any strategy will be profitable.

By reading this book, you agree that you are solely responsible for your own investment decisions and that you will consult a SEBI-registered adviser where appropriate.

How to Read This Book

This book teaches **techno-funda** investing — the deliberate fusion of *fundamental* analysis (what to buy: quality, growth, value) with *technical* analysis (when to buy and when to exit). It presents five strategy ideas, each pairing a fundamental screen with a technical trigger.

- **Chapters 1–2** explain what techno-funda is and why the combination works.
- **Chapters 3–4** lay out the two halves: the fundamental screen and the technical timing layer.
- **Chapters 5–9** are the five strategy ideas — the heart of the book. Each is self-contained: the idea, the fundamental criteria, the technical trigger, an Indian-market example, and its risks.
- **Chapter 10** turns the ideas into a repeatable screening workflow.
- The **appendix** condenses all five ideas into a quick-reference table.

A note on language: this book describes what a strategy *is* and what conditions it historically aligns with — never what you "should" do. Where results are discussed, they are framed as historical observations, not promises. You are responsible for your own decisions.

Table of Contents

1. What Is Techno-Funda?
 2. Why Combine Fundamentals and Technicals?
 3. The Fundamental Screen
 4. The Technical Timing Layer
 5. Idea 1 — Quality + Uptrend
 6. Idea 2 — Growth + Breakout
 7. Idea 3 — Value + Reversal Timing
 8. Idea 4 — Dividend + Trend
 9. Idea 5 — Earnings Momentum + Relative Strength
 10. Building the Screening Workflow
- Appendix — Strategy Quick-Reference Table
-

1. What Is Techno-Funda?

One answer to two different questions

Every investment decision actually contains two separate questions:

1. **What to buy** — is this a *good business* at a *reasonable price*?
2. **When to buy** — is *now* a good time, or am I paying for strength that is about to fade?

Two great traditions of analysis each answer one of these questions well — and only one:

- **Fundamental analysis** answers *what*. It studies the business: earnings, growth, debt, margins, valuation, and the quality of the balance sheet. It is excellent at identifying *good companies* — and famously poor at telling you *when* to enter, because a good company can be a bad investment for a long time if the price keeps falling.
- **Technical analysis** answers *when*. It studies price, trend, and volume to judge *timing*. It is excellent at telling you *when* strength is present — and famously indifferent to *whether the company is any good*, because a broken business can rally on a chart.

Techno-funda (technical + fundamental) is simply the practice of answering *both* questions, with the right tool for each:

Fundamentals decide the universe. Technicals decide the timing.

The core principle: "what" before "when"

Techno-funda inverts the way many people think. Rather than asking "what is moving and can I buy it?", it asks "which *good* businesses are worth owning, and is the *timing* right for any of them now?"

The sequence is disciplined:

1. **Fundamental screen** — reduce the entire market to a shortlist of businesses that meet a quality, growth, or value standard. This is the "what".
2. **Technical trigger** — from that shortlist, act only when price action confirms that strength has arrived (an uptrend, a breakout, a reversal off support). This is the "when".
3. **Risk discipline** — a stop or exit rule, because even a good business bought at the wrong moment can hurt.

The result is a filter that is *narrow at both ends*: you do not buy bad businesses, and you do not buy good businesses at bad times. What remains is a small, high-conviction set of ideas.

Why this fusion is powerful

Each discipline on its own has a known failure mode:

- **Pure fundamental** investors can buy a wonderful company and watch it fall for months ("value trap", "falling knife") because they ignored timing.
- **Pure technical** traders can ride a rally in a fundamentally broken company and be destroyed when the truth emerges, because they ignored *what* they held.

Techno-funda is an attempt to *cancel these two failure modes against each other*: the fundamental screen protects against holding junk; the technical trigger protects against buying quality too early. Neither layer is perfect, but together they cover more of the risk surface than either alone.

What techno-funda is not

- It is **not** a guarantee — good businesses bought at good times can still decline; markets are probabilistic.
- It is **not** "buy any stock whose chart looks good" — the fundamental screen is non-negotiable.
- It is **not** a single rigid formula — it is a *framework* with many valid implementations, which is why this book presents five *ideas*, not one rule.

The two layers, in one sentence each

- **The fundamental layer** asks: *is this a business I would be comfortable owning for years?*
- **The technical layer** asks: *is the market currently confirming that thesis in the price?*

When the answer to both is yes, you have a techno-funda idea.

Summary

- Techno-funda fuses fundamental analysis (what) with technical analysis (when).
- Fundamentals decide the universe; technicals decide the timing.
- It cancels the two classic failure modes: value traps (fundamental-only) and junk rallies (technical-only).
- It is a framework with many implementations, not a single formula.

Next: why the combination works — the logic of each layer and their complementary strengths.

2. Why Combine Fundamentals and Technicals?

Two lenses, one market

The strongest argument for techno-funda is not that either discipline is weak — it is that they are **complementary**. Fundamentals and technicals measure *different things on different time horizons*, and combining them covers a risk surface that neither covers alone.

What fundamentals give you

Fundamental analysis answers a long-horizon question: **is this business creating value?**

- **Quality** — high returns on capital, low debt, consistent margins: the traits of a compounding business.
- **Growth** — rising earnings and revenue: the engine of long-term price appreciation.
- **Valuation** — a reasonable price relative to earnings, book, and cash flow: the margin of safety.

These are *slow-moving* truths. A quality business stays quality for years; its earnings grow over quarters and years, not days. Fundamentals give you **confidence in what you own** and a reason to hold through noise.

But fundamentals have a known weakness: **they are silent on timing**. A great business can be a terrible purchase if the price is falling — the "value trap" problem. The fundamental investor knows *what* is good but not *when* it is good to buy.

What technicals give you

Technical analysis answers a short-horizon question: **is the market currently rewarding this asset?**

- **Trend** — is price making higher highs and higher lows (uptrend) or the reverse?
- **Momentum** — is strength accelerating or fading?
- **Support/resistance** — where do buyers and sellers step in?

These are *fast-moving* truths. A trend is visible in days, and it changes in days. Technicals give you **timing** — a signal that strength has arrived, and a mechanism for *exit* when it fails.

Technicals' weakness is the mirror image: **they are silent on quality**. A broken company can chart beautifully for a while, and the technical trader, riding the chart, can be left holding nothing when reality catches up.

The complementary argument, precisely

	Fundamentals	Technicals
Answers	<i>What</i> to own	<i>When</i> to act
Time horizon	Years	Days to months
Protects against	Junk businesses	Bad timing
Fails against	Value traps / falling knives	Junk rallies

Each layer's strength is *exactly* the other's weakness. This is the whole case for combining them:

- The **fundamental screen** removes the companies whose charts are only temporarily strong — you never ride a junk rally.
- The **technical trigger** removes the good companies whose prices are still falling — you never catch a falling knife.

The behavioural edge

There is a second, subtler reason the combination works: **it disciplines both types of investor at once.**

- A fundamental investor who must also see a technical trigger is forced to *wait* — they cannot buy "because it's cheap" and watch it fall. The trigger imposes patience.
- A technical trader who must also pass a fundamental screen is forced to *know what they hold* — they cannot buy a random rallying chart. The screen imposes quality.

The result is a process that is *slower, narrower, and more deliberate* than either discipline alone — and in markets, deliberate narrowness is usually an advantage, because it reduces the number of ways to be wrong.

An honest limit

The combination is powerful but not magic. Two honest caveats:

1. **It can keep you out of good trades.** A wonderful company in a powerful uptrend that *fails your specific fundamental threshold* will be excluded — you trade away some upside for the discipline.
2. **It does not remove risk.** A good business, bought at a confirmed good time, can still decline; the framework only shifts the odds, it does not guarantee outcomes.

Framed as this book always frames such things: *historically, buying quality businesses at technically well-timed entries has tended to produce better risk-adjusted outcomes than either a fundamentals-only or a technicals-only approach — but that tendency is probabilistic, not certain.*

Summary

- Fundamentals and technicals measure different things on different horizons.
- Each layer's strength is the other's weakness: quality vs. timing.
- Combining them cancels both classic failure modes and disciplines both kinds of investor.
- The trade-off is narrower selection and the possibility of missing some winners.
- The edge is probabilistic, not a guarantee.

Next: the fundamental screen — the "what" half of the framework.

3. The Fundamental Screen

Separating good businesses from the rest

The fundamental screen is the "what" half of techno-funda. Its job is to reduce the entire market to a shortlist of businesses worth owning. This chapter covers the four pillars of the screen — **quality, growth, valuation, and balance-sheet health** — and how to apply them in the Indian context.

Pillar 1: Quality

A quality business earns a **high return on the capital it employs**, because that is the definition of a compounding machine.

Metric	What it measures	Common screen
ROE (Return on Equity)	Profit per unit of shareholder capital	ROE > 15% (sustained)
ROCE	Profit per unit of total capital employed	ROCE > 15%
Operating margin	Pricing power / efficiency	Stable or rising, > 10–15%
Consistent earnings	Reliability of the business	Positive EPS in most of the last 5–10 years

The key word is **sustained**. A single year of high ROE is meaningless; five to ten years of it signals a durable advantage. A screen should look at the *average* over several years, not one quarter.

Pillar 2: Growth

Quality tells you the business is good *now*; growth tells you it is getting better. Growth is what turns a good business into a rising stock over time.

- **Revenue growth** — is the top line expanding? (Look at 3–5 year CAGR.)
- **Earnings growth** — is profit growing at least as fast? (EPS CAGR.)
- **Consistency of growth** — is growth steady, or lumpy and unreliable?

A common screen: **revenue and EPS growing at 10–15%+ annually over 3–5 years**, with no major negative year. Growth quality matters more than raw speed — a 40% grower that crashes every other year is riskier than a steady 15% grower.

Pillar 3: Valuation

A wonderful business can be a poor purchase at a silly price. Valuation is the **margin of safety**.

- **P/E (Price-to-Earnings)** — price relative to profit. Lower is cheaper, but compare *within* an industry, not across.
- **P/B (Price-to-Book)** — price relative to net assets; more relevant for asset-heavy businesses (banks, financials).
- **PEG (P/E ÷ growth rate)** — a rough value-for-growth measure; PEG near or below 1 is often considered reasonable.

The honest caveat: **valuation is not a timing tool**. A cheap stock can stay cheap, and an expensive quality stock can keep rising. In techno-funda, valuation is a *filter* (avoid paying absurd prices), while the *technical layer* handles timing. Valuation should be used to *exclude the clearly overpriced*, not to *pick the exact entry*.

Pillar 4: Balance-sheet health

Growth and earnings mean little if the business is drowning in debt. Balance-sheet health is the survivability test.

- **Debt-to-equity** — leverage; a high ratio is a red flag (banks/financials are the exception, where leverage is the business model).
- **Interest coverage** — operating profit ÷ interest; must comfortably cover obligations.
- **Current ratio / working capital** — short-term liquidity.

A simple screen: **debt-to-equity below a threshold** (often 0.5–1.0 for non-financials), **interest coverage comfortably above 2×**, and a **positive operating cash flow** trend.

Applying the screen in India

In the Indian market, a practical fundamental screen over the **NIFTY 500** (or a larger liquid universe) might look like:

1. **Quality:** ROE > 15% (5-year average), operating margin stable/rising.
2. **Growth:** revenue and EPS CAGR > 12% over 5 years.
3. **Valuation:** P/E below the stock's own 5-year median (or below a sector-relative ceiling).
4. **Health:** debt-to-equity < 1.0 (non-financials), interest coverage > 3×

This is a *starting point*, not gospel — every threshold is adjustable to taste and sector. The point is not the specific numbers; it is that the screen is **explicit, written, and repeatable**, so the "what" decision is made systematically rather than by feel.

The output: a universe, not a buy list

Crucially, the fundamental screen produces a **shortlist of candidates**, not a trade. Passing the screen means "worth owning at the right time." It does **not** mean "buy now." That decision belongs

to the technical layer — the next chapter.

Summary

- The fundamental screen has four pillars: quality, growth, valuation, and balance-sheet health.
- Quality = sustained high returns on capital (ROE/ROCE over years).
- Growth = steady revenue and EPS expansion (CAGR over 3–5 years).
- Valuation = margin of safety; a filter against overpaying, not a timing tool.
- Health = survivability (low leverage, high coverage, positive cash flow).
- The screen produces a candidate universe, not a buy signal.

Next: the technical timing layer — the "when" half.

4. The Technical Timing Layer

Deciding "when", not "if"

The fundamental screen told you *what* is worth owning. The technical layer tells you *when* to actually act — and, just as importantly, *when to leave*. Its job is to answer one question: **is the market currently confirming the thesis in the price?**

This chapter covers the four timing tools the strategy ideas use: trend, momentum, entry triggers, and exits.

Trend: the regime filter

The first and most important technical question is: **is this stock in an uptrend?** An uptrend is a sequence of **higher highs (HH)** and **higher lows (HL)**, and it is most simply confirmed by price trading **above a rising long-term moving average** — the 200-day MA is the standard.

The trend filter does two jobs in techno-funda:

1. It **keeps you out of falling knives** — a fundamentally good stock that is still trending *down* is not yet a candidate, no matter how cheap.
2. It **tells you the tide is with you** — an uptrend means the broader market is already rewarding this business.

A clean rule: **only act on stocks above their 200-day MA (and ideally with the 50-day MA also rising)**. This single filter eliminates most bad entries.

Momentum: is strength building or fading?

Trend tells you the *direction*; momentum tells you the *vigour*. Two useful momentum measures:

- **Rate of change (ROC)** — the trailing N-month return; rising ROC means strength is accelerating.
- **Relative strength (RS)** — the stock's return *relative to* the benchmark (NIFTY). A stock that is outperforming the index has positive relative strength — the market is favouring it.

For timing, what matters is the *recent* direction of momentum: a stock in an uptrend whose relative strength is *rising* is a stronger candidate than one merely drifting up.

Entry triggers: the moment to act

Trend and momentum tell you the stock is in the right *state*. The **entry trigger** is the specific price action that says "act now." The five strategy ideas use three common triggers:

1. **Breakout** — price closes at/above a new high (52-week high, or a defined resistance). Strength is being *confirmed*.
2. **Pullback reversal** — price pulls back to a rising moving average and prints a reversal candle, *then* resumes. A lower-risk entry *within* an uptrend.
3. **Reversal off a base** — after a period of consolidation or decline, price shows the first signs of a turn (higher low, close above a short MA).

Each trigger is a *specific, observable event* — not a feeling. The discipline is to wait for it.

Exits: the other half of timing

Timing is not just entry; it is also **exit**. A techno-funda position needs a defined way out:

- **Trend exit** — close when price breaks the trend (e.g., closes below the 200-day MA, or makes a lower low). The *fundamental* thesis may be intact, but the *technical* timing has failed — and timing is what you entered on.
- **Stop-loss** — a fixed level below the entry (below the breakout level or pullback low) that caps the loss if the setup fails immediately.
- **Thesis break** — exit if the *fundamental* story itself deteriorates (a major earnings miss, a debt shock), regardless of the chart.

The elegant part of techno-funda is that you can hold a position as long as **both** layers agree, and exit when **either** fails — the fundamental screen or the technical trend. That is a clean, two-sided exit rule.

The division of labour, restated

To keep the framework crisp:

- **Fundamentals** tell you the business is worth owning.
- **Technicals** tell you the market agrees *now* — and will warn you when it stops agreeing.

The strategy ideas in the next five chapters are simply different *pairings* of a fundamental screen with a technical trigger. Learn the two layers here, and each idea becomes a matter of "which screen, which trigger, which exit."

Summary

- The technical layer answers "when": is the market confirming the thesis?
- Trend (200-day MA, HH/HL) filters out falling knives.
- Momentum (ROC, relative strength) measures vigour.
- Entry triggers — breakout, pullback reversal, or base reversal — are specific observable events.

- Exits fire when either the technical trend or the fundamental thesis breaks.

Next: Idea 1 — Quality + Uptrend.

5. Idea 1 — Quality + Uptrend

The compounding business, bought with the trend

The most fundamental techno-funda idea: own **high-quality businesses** — the compounding machines — but only while they are in an **uptrend**. This is the classic "great company at a reasonable time" construction.

The idea

A quality business (high, sustained returns on capital) tends to compound in value over years. But even a great company goes through long periods where the stock *falls* or *goes nowhere* — and buying during those periods is painful, even if the eventual outcome is fine. The Quality + Uptrend idea simply waits: **identify the quality business, then own it only while price is trending up.**

The logic is that an uptrend is the market's own confirmation that the business's compounding is currently being *rewarded*. You are buying quality *and* paying attention to when the market agrees with you.

The fundamental screen (what)

Over a liquid universe (the NIFTY 500 is a natural start):

- **ROE > 15%**, averaged over the last 5 years (sustained, not a one-year spike).
- **ROCE > 15%** (or a stable, high operating margin).
- **Low debt** — debt-to-equity < 0.5 for non-financials; interest coverage > 4×
- **Consistent profitability** — positive earnings in nearly all of the last 10 years.

This produces a shortlist of genuine compounding businesses — often the "franchise" names with durable competitive advantages.

The technical trigger (when)

From that shortlist, act only when:

1. **Price is above the rising 200-day MA** (uptrend confirmed).
2. **Entry trigger:** one of the timing signals from Chapter 4 — most naturally a **pullback to the 50-day or 20-day MA that holds and reverses**, or a clean **breakout to a new high**.
3. **Exit:** close below the 200-day MA (trend broken), or a stop below the pullback low.

A worked example (an NSE franchise)

- A consumer staple with a 5-year average ROE of 24%, minimal debt, and consistent earnings passes the quality screen.
- For months it trades sideways, below its 200-day MA — *not* a candidate yet, despite the quality.
- A recovery begins; the stock **closes above its rising 200-day MA**, then **pulls back to the 50-day MA and reverses upward. Entry.**
- The stock trends higher for a year as earnings keep compounding; the investor holds while the 200-day MA keeps rising.
- A market correction drives it **below the 200-day MA. Exit** — the trend, and therefore the timing, has failed (the *business* may still be fine).

Result: the investor owned a great business *only during the periods the market was rewarding it*, and stepped aside when it was not.

Risks and limitations

- **Late entries / late exits.** Waiting for the 200-day MA means giving up the first and last legs of every move. This is the price of confirmation.
- **Whipsaw in ranges.** A quality stock can chop around its 200-day MA, generating false entries/exits. The pullback trigger (rather than the raw MA cross) reduces this.
- **Quality is backward-looking.** A business that *was* high-ROE can deteriorate; the screen lags reality. The exit rule partly covers this, but the fundamental thesis must still be monitored.
- **Excludes great turnarounds.** The idea deliberately skips companies not yet in an uptrend — including some that will become the next big winners.

Summary

- Own high-quality businesses (sustained ROE/ROCE, low debt) only in uptrends.
- Enter on a pullback reversal or breakout above the rising 200-day MA; exit on a trend break.
- The uptrend is the market's confirmation that quality is being rewarded.
- Costs: lateness, whipsaw, and excluding turnarounds.

Next: Idea 2 — Growth + Breakout.

6. Idea 2 — Growth + Breakout

Fast-growing businesses, bought on strength

If Idea 1 is the patient, compounding approach, Idea 2 is its more aggressive cousin: own **high-growth businesses**, but buy them only on a **breakout** — the moment the market visibly reprices their growth upward.

The idea

Growth stocks are where the market's biggest re-ratings happen: when a fast-growing company is *recognised*, its price can rise far more than earnings alone, because the market starts paying for *future* growth, not just today's. The problem is that growth recognition is *lumpy and hard to predict* — a great grower can sit flat for months, then gap up on a single earnings report.

The Growth + Breakout idea therefore waits for the market to do the recognising *first*. It does not try to predict *when* a growth stock will be re-rated; it waits for the **breakout** — a new high on volume — and then participates. You give up the first part of the move (the breakout itself) to avoid holding a grower that never gets recognised.

The fundamental screen (what)

- **Revenue growth > 15–20% CAGR** over 3–5 years (the growth engine).
- **Earnings growth** in the same range, or accelerating.
- **Rising or stable margins** — growth *without* margin erosion (quality of growth).
- **Reasonable balance sheet** — growth companies often carry debt, but it must be serviceable.

The screen identifies the *genuine* growers — companies expanding their market and earnings, not merely their share count.

The technical trigger (when)

1. **Uptrend context** — the stock is above its 200-day MA (ideally already in a longer uptrend).
2. **The breakout** — price **closes at a new 52-week high (or a multi-month high) on above-average volume**. Volume confirms that this is genuine recognition, not a head-fake.
3. **Stop** — below the breakout level (or the prior consolidation's upper boundary). If the breakout fails, the trade fails fast.
4. **Exit** — a trailing stop (e.g., a close below the 20-day or 50-day MA), letting a genuine re-rating run rather than capping it with a target.

A worked example (a mid-cap grower)

- A mid-cap company growing revenue at 25% annually, with expanding margins, passes the growth screen.
- It has been consolidating between ₹400 and ₹480 for months.
- After a strong quarterly result, the stock **closes at ₹495 on volume 2× its average** — a breakout to a new high. **Entry** at ₹495.
- **Stop** at ₹455 (below the consolidation top).
- The market re-rates the stock; it climbs to ₹650 over the following months as more investors recognise the growth. The investor trails the stop up under the rising 20-day MA, eventually exiting at ₹610.

Result: the investor caught the *recognition* phase — the re-rating — without having to predict when it would start, and with a defined stop if the breakout had failed.

Risks and limitations

- **High failure rate.** Growth breakouts fail often — the breakout can reverse quickly (especially on a gap-up that fades). The stop is what keeps these failures small.
- **Valuation risk.** The screen says nothing about price; a breakout can be into dangerously expensive territory. (Pairing with a valuation sanity-check — e.g., PEG — is a prudent addition.)
- **Gap risk.** Growth re-ratings often happen *on the gap* (overnight); buying into a large gap is riskier than a clean close above the level.
- **Volatility.** Growth stocks are volatile; the trailing exit will be hit by normal swings, so positions must be sized accordingly.

Summary

- Own high-growth businesses, but buy only on a volume-confirmed breakout to a new high.
- The breakout is the market's recognition of growth; you participate rather than predict.
- Stop below the breakout; trail the winner rather than capping it.
- Risks: failed breakouts, valuation, gap risk, volatility.

Next: Idea 3 — Value + Reversal Timing.

7. Idea 3 — Value + Reversal Timing

Cheap businesses, bought only when the tide turns

The first two ideas buy *strength*. This one buys *cheapness* — but with the crucial techno-funda twist: a cheap stock is only bought once the price shows a **reversal**, because cheap alone is a trap.

The idea

Value investing's great enemy is the **value trap**: a stock that is cheap for a reason, and stays cheap (or gets cheaper) for years. The classic mistake is to buy a low-P/E stock simply *because* it is low-P/E, and then watch it drift down while the "cheapness" deepens.

The Value + Reversal Timing idea keeps the value screen but adds a non-negotiable gate: **the technical reversal**. A cheap stock becomes a *candidate* only when the price stops falling and starts turning up. You are buying value, but you are *waiting for the market to stop punishing it* first.

The fundamental screen (what)

- **Low valuation** — e.g., P/E below its own 5-year median, P/B below 2 (or sector-relative), a reasonable PEG.
- **Still profitable** — positive earnings (a value screen should exclude loss-makers; those are a different bet).
- **A reason to recover** — healthy balance sheet (low debt), stable or recovering margins, a catalyst on the horizon (earnings inflection, new management, sector cycle).

The screen identifies *cheap but viable* businesses — not distressed ones. Distress is excluded because it is a different (and far riskier) game.

The technical trigger (when)

1. **A base or bottom is forming** — the decline has slowed, price is no longer making lower lows.
2. **The reversal** — the first confirmed signs of a turn: a **higher low**, followed by a **close above a short-term MA (e.g., the 20-day or 50-day)** on rising volume. Some versions require a close above the 200-day MA before acting.
3. **Stop** — below the reversal low (the higher low). If price falls below it, the "reversal" was false and the value trap is still in force.
4. **Exit** — trend break (below the 50/200-day MA) or the stop; the position is held only as long as the recovery continues.

A worked example (an NSE cyclical/cheap name)

- A large-cap in a beaten-down sector trades at a P/E well below its 5-year median, with a clean balance sheet and early signs of an earnings inflection. It passes the value screen.
- The stock has been falling for a year but recently **stopped making new lows**, building a base between ₹180 and ₹200.
- It **makes a higher low at ₹195, then closes above its 50-day MA at ₹210 on rising volume. Entry** at ₹212.
- **Stop** at ₹193 (below the higher low).
- The recovery continues as the sector cycle turns; the stock climbs to ₹280. The investor holds while the uptrend persists, exiting on a trend break at ₹265.

Result: the investor bought a cheap stock *only after* the market confirmed the turn — avoiding the years of pain that a pure value investor would have absorbed.

Risks and limitations

- **False reversals.** A reversal signal can fail — the "turn" was just a bounce in a continuing downtrend. The stop below the higher low caps this.
- **Late to genuine recoveries.** Waiting for confirmation means missing the very bottom; the first, sharpest leg of a V-shaped recovery is given up.
- **The value trap persists.** A stock can look "reversing" and then resume its decline; the screen must also have been right that the business is *viable*, not just cheap.
- **Catalyst dependence.** Many cheap stocks never re-rate without a specific catalyst; the screen's "reason to recover" is doing real work.

Summary

- Buy cheap-but-viable businesses, but only after a confirmed technical reversal.
- The reversal (higher low + close above a short MA) is the gate that avoids value traps.
- Stop below the reversal low; exit on trend break.
- Costs: false reversals, lateness, and the persistence of value traps.

Next: Idea 4 — Dividend + Trend.

8. Idea 4 — Dividend + Trend

Income businesses, owned only in uptrends

This idea targets **dividend-paying businesses** — the steady, income-generating compounders — and applies the same discipline as the others: own them for the income, but time the *capital* with the trend.

The idea

A high-quality dividend payer rewards you in two ways: the **dividend yield** (income) and **price appreciation** (capital). The insight behind this idea is that these two rewards are best captured *together*, and that *both* are undermined if you buy a dividend stock in a downtrend.

The logic: a stable dividend payer in an uptrend gives you income *plus* a rising price. The same stock in a downtrend gives you income *minus* a falling price — and the falling price can easily overwhelm the yield. So the idea is: **screen for reliable dividends, then own them only while the trend is up.**

The fundamental screen (what)

- **Dividend yield** — above a threshold (often > 2–3%, but the *reliability* matters more than the raw number).
- **Dividend sustainability** — the payout is comfortably covered by earnings (payout ratio < ~70%) and has been *paid and grown consistently* for years. A high yield that is not sustainable is a warning, not an attraction.
- **Underlying quality** — stable earnings, low debt, and a business that generates the cash flow to keep paying (a dividend is only as good as the cash flow behind it).

The screen identifies *reliable income* — companies whose dividend is a genuine, sustainable return of cash, not a trap.

The technical trigger (when)

1. **Uptrend** — price above the rising 200-day MA.
2. **Entry** — a **pullback to a rising MA (50-day or 200-day) that holds**, or a breakout to a new high. The pullback entry is often the natural fit: buying a reliable dividend stock *on a dip* in an uptrend improves the effective yield.
3. **Stop** — below the pullback low (or below the 200-day MA).

4. **Exit** — trend break (close below the 200-day MA), or the fundamental exit if the dividend is cut or the payout becomes unsustainable.

A worked example (an NSE dividend stalwart)

- A large utility/consumer name pays a consistent 3% yield with a payout ratio of 55%, a clean balance sheet, and a 15-year record of paying and growing the dividend. It passes the screen.
- The stock is in a steady uptrend, above its rising 200-day MA.
- It **pulls back to the 200-day MA during a broad market dip and holds, reversing upward. Entry.**
- The investor holds, collecting the dividend while the price grinds higher over the following year.
- After a long run, the stock **closes below the 200-day MA** in a correction. **Exit** (the income continues to be attractive, but the *capital* timing has turned).

Result: the investor captured the yield *and* the uptrend, and avoided holding through the drawdowns — while always knowing the dividend would still be there if they chose to return.

Risks and limitations

- **Yield is not total return.** A 3% yield is swamped by a 20% price fall; the trend filter exists precisely because the price matters as much as the yield.
- **Dividend cuts.** A "reliable" payer can cut the dividend; the fundamental screen's sustainability check reduces, but does not remove, this risk.
- **Whipsaw.** Dividend stocks are often low-volatility and can chop around their 200-day MA; the pullback entry (not a raw MA cross) mitigates this.
- **Opportunity cost.** Exiting on a trend break means missing the dividend during the periods you are out; that is the price of protecting the capital.

Summary

- Own reliable dividend payers (sustainable, growing, covered) only in uptrends.
- Enter on pullbacks to a rising MA; exit on trend break or a dividend cut.
- The trend protects the *capital* half of total return; the yield is the *income* half.
- Risks: yield ≠ total return, dividend cuts, whipsaw, opportunity cost.

Next: Idea 5 — Earnings Momentum + Relative Strength.

9. Idea 5 — Earnings Momentum + Relative Strength

The market's favourite stocks, confirmed by both layers

This idea combines the *fundamental* signal of **earnings momentum** (profits accelerating, estimates rising) with the *technical* signal of **relative strength** (the stock outperforming the market). It targets the stocks that are improving on paper *and* being rewarded in price — the sweet spot of the whole framework.

The idea

Two of the strongest documented tendencies in markets are:

1. **Earnings momentum** — companies whose earnings are *accelerating* (or whose estimates are being revised upward) tend to keep outperforming, because the market systematically under-reacts to improving fundamentals.
2. **Price momentum / relative strength** — stocks that are already *outperforming* tend to keep outperforming, because strength persists.

This idea requires **both at once**: the fundamentals must be *improving* (earnings momentum) and the price must be *confirming it* (relative strength). Either alone is weaker; together they are a strong, self-reinforcing signal — a stock whose fundamentals are improving *and* whose price is already leading.

The fundamental screen (what)

- **Earnings momentum** — earnings per share *accelerating*: recent quarterly EPS growth faster than the trailing trend, or consecutive quarters of positive earnings surprises.
- **Estimate revisions** — analysts revising earnings estimates *upward* (a leading indicator of improving fundamentals).
- **Revenue confirmation** — top-line growth supporting the earnings improvement (earnings growth without revenue is lower-quality).

The screen identifies companies whose *fundamentals are on an improving trajectory right now* — not merely "good" or "cheap", but *getting better*.

The technical trigger (when)

1. **Relative strength** — the stock is **outperforming the benchmark** (e.g., its trailing 3–6 month return exceeds NIFTY's, or its RS line is rising).
2. **Uptrend** — price above the rising 200-day MA.
3. **Entry** — a **breakout to a new high** or a **pullback that holds at a rising MA** (either of the standard triggers).
4. **Stop / exit** — below the breakout or pullback low; or exit when *either* the earnings momentum stalls (a major negative surprise) *or* the relative strength breaks down.

A worked example (an NSE earnings-beater)

- A large-cap has posted three consecutive quarters of earnings *above* expectations, and analysts have revised estimates upward; revenue is growing in the high teens. It passes the earnings-momentum screen.
- Over the last six months, the stock has returned 28% versus NIFTY's 12% — **clear relative strength**, and it is above a rising 200-day MA.
- It **breaks out to a new 52-week high on volume. Entry.**
- The stock leads for the next two quarters as estimates keep rising; the investor trails the stop under the rising 20-day MA.
- A subsequent earnings report **misses** and the stock **closes below its 50-day MA**, breaking relative strength. **Exit.**

Result: the investor rode a stock that was improving *fundamentally* and *leading* on the chart — and exited when *both* signals deteriorated.

Risks and limitations

- **Crowding.** The most obvious earnings-momentum + relative-strength names are also the most crowded; when they reverse, the reversal can be sharp (a crowded unwind).
- **Estimate-revision lag.** Estimate data can be stale or thin for smaller names; the signal is stronger for large, well-covered stocks.
- **Reversal after good news.** A stock can sell off *after* a great report ("buy the rumour, sell the news"); the relative-strength exit is what catches this.
- **Two-signal failure.** The idea exits when *either* layer breaks, which means it can exit early on a single bad quarter even if the longer trend is intact.

Summary

- Combine earnings momentum (accelerating EPS, rising estimates) with relative strength (outperforming the market).

- Enter on breakout or pullback within an uptrend; exit when either the earnings momentum stalls or relative strength breaks.
- A self-reinforcing signal: improving fundamentals confirmed by leading price.
- Risks: crowding, data lag, sell-the-news, and two-signal exits.

Next: turning the five ideas into a repeatable screening workflow.

10. Building the Screening Workflow

From five ideas to one repeatable process

The five ideas are variations on a single machine. This chapter assembles them into a **workflow** — a repeatable, written process that turns the whole market into a shortlist, and the shortlist into trades. The workflow is what makes techno-funda *systematic* rather than *occasional*.

The workflow, step by step

Step 1 — Define your universe

Start with a liquid, manageable universe: the **NIFTY 500** (or NIFTY 200 for higher liquidity), plus any sectors you specifically follow. Liquid names matter because you will eventually enter and exit them — and because their fundamental data is reliable.

Step 2 — Run the fundamental screen

Apply the pillars from Chapter 3 — **quality, growth, valuation, balance-sheet health** — to produce a shortlist. Pick the thresholds that match your chosen idea:

Idea	Emphasise
Quality + Uptrend	ROE/ROCE, low debt
Growth + Breakout	Revenue/EPS growth
Value + Reversal	Low P/E, P/B, viable
Dividend + Trend	Yield, payout, sustainability
Earnings Momentum + RS	EPS acceleration, rising estimates

Record the screen as an explicit list of criteria. A screen you cannot write down is a screen you cannot repeat.

Step 3 — Apply the technical timing filter

From the shortlist, keep only names in the correct technical state — **above the rising 200-day MA**, with the momentum (relative strength or ROC) you want. This is where "what" becomes "when."

Step 4 — Wait for the entry trigger

Do not buy the shortlist. Wait for the **specific trigger** — breakout, pullback reversal, or base reversal (Chapter 4). The trigger is the event that converts a *candidate* into a *position*. No trigger, no

trade.

Step 5 — Set the exit before the entry

For every position, write down *before entering*: - The **stop** (below the breakout/pullback/reversal low). - The **trend exit** (below the 200-day or 50-day MA). - The **thesis exit** (the fundamental condition that would invalidate the idea).

This is the discipline that closes the loop: you entered on timing, so you exit on timing (or on a broken thesis).

Step 6 — Review on a schedule

Re-screen on a fixed cadence — monthly or quarterly. Re-running the screen *systematically* does two things: it refreshes the shortlist as fundamentals change, and it re-checks whether existing positions still pass both layers. The schedule, not the headlines, drives the decisions.

A written template

A one-page template keeps the workflow honest:

```
Idea: _____  
Universe: NIFTY 500  
Fundamental screen: [list criteria and thresholds]  
Technical filter: above 200-day MA; RS > 0  
Entry trigger: [breakout / pullback / reversal]  
Stop: [level]  
Trend exit: [below which MA]  
Thesis exit: [fundamental invalidation]  
Review cadence: [monthly / quarterly]
```

Filling this in — once per idea — is the difference between a strategy you *have* and one you *run*.

The risks of the workflow itself

Three workflow-level risks to manage:

1. **Over-optimism in the screen.** A screen tuned to look good on recent data may not generalise. Keep criteria simple and economically sensible, not data-mined to perfection.
2. **The two layers can disagree for a long time.** A quality stock can fail the technical filter for months, and a strong chart can fail the fundamental screen. The workflow's answer is *patience* — you simply own fewer things, less often.
3. **Costs and turnover.** Re-screening and re-trading generate costs (brokerage, STT, impact). Prefer lower-turnover triggers (monthly/quarterly reviews, trend exits) over frequent entries.

The honest summary of the whole book

Techno-funda is not a trick; it is a *discipline*. It asks two questions — **is this a good business, and is now a good time?** — and refuses to act until both are answered. The five ideas are five ways of answering them; the workflow is the habit of asking them, every time, in the same order. That habit, more than any single ratio or indicator, is the edge.

Summary

- The workflow: universe → fundamental screen → technical filter → entry trigger → exit plan → scheduled review.
- Write the screen and the exits down; a strategy you cannot write is one you cannot repeat.
- The schedule (not headlines) drives re-screening.
- Manage workflow risks: over-optimism, layer disagreement, and turnover costs.
- The habit of asking "what" and "when" — in order, every time — is the edge.

This completes the main text. The appendix condenses all five ideas into one reference table.

Appendix — Strategy Quick-Reference Table

This table is a summary, not a substitute for the full chapters. Adjust thresholds to your own risk tolerance, universe, and data sources.

#	Idea	Fundamental screen (what)	Technical trigger (when)	Exit
1	Quality + Uptrend	Sustained ROE/ROCE > 15%, low debt	Pullback reversal or breakout above rising 200-day MA	Below 200-day MA / stop
2	Growth + Breakout	Revenue/EPS growth > 15–20%, stable margins	Volume-confirmed breakout to a new high	Trailing stop (20/50-day MA)
3	Value + Reversal	Low P/E/P/B (below own median), viable, profitable	Higher low + close above 50-day MA on volume	Below reversal low / trend break
4	Dividend + Trend	Sustainable yield > 2–3%, payout < 70%, growing	Pullback to rising MA in an uptrend	Below 200-day MA / dividend cut
5	Earnings Momentum + RS	Accelerating EPS, rising estimates, revenue confirmation	Outperformance (RS) + breakout/pullback in uptrend	Negative surprise / RS breakdown

The two questions every idea answers

1. **What** — is this a good business? (the fundamental screen)
2. **When** — is the market rewarding it now? (the technical trigger)

The universal rules

- Fundamentals decide the universe; technicals decide the timing.
- Write the screen and the exits down, before any trade.
- Set the stop, trend exit, and thesis exit at entry.
- Re-screen on a schedule (monthly/quarterly), not on headlines.
- Own fewer things, less often — the discipline *is* the edge.